0.6 per cent increase in FMCG prices, notes Sharangpani Pant, commercial head, tech & durables, NielsenIQ.

Behind the slowdown in urban demand is the rising cost of food. "The growing food inflation is impacting demand in urban India, particularly for discretionary products," says Dabur India CEO Mohit Malhotra. Food expenses now constitute 40-50 per cent of a household's spend, even though the Household Consumption Expenditure Survey reveals a reduction in food expenses in 2023-24—by 3 per cent in urban households and by 6 per cent in rural ones—compared to 2011-12. The middle-class consumer may not be compromising on the quantity she buys, but she may certainly 'downtrade'—opting for cheaper or unbranded alternatives—or seek value packs with unit price benefits, which does little for a company's value growth. The sales value of branded edible oil, for instance, dropped by 11 per cent in September 2024, following a 2.3 per cent decrease in September 2023, according to NielsenIQ data.

Firms like HUL, Marico, Dabur and Tata Consumer Products have also been forced to either raise prices of certain products by 3-5 per cent, or resort to 'shrinkflation'—



ARUN KUMAR

CASE STUDY ▲

Aishwarya Kumari, 34
HR professional, *Greater Noida*

> **"Consumption is a response to wages and income growth. A 1 per cent change in real wages leads to a 110-basis point change in real Private Financial Consumption Expenditure"**
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> **– DEVENDRA KUMAR PANT**
> *Chief Economist, India Ratings & Research*

reducing the weight of products per package—with the increase in prices of key raw materials, such as palm oil, coffee, cocoa and wheat. Palm oil—a key input for personal care and snack brands—has seen a duty hike of 20 per cent; tea, of 30 per cent. The increase in commodity prices, says Jawa of HUL, has affected sales of their tea brands like 3 Roses, Taaza and Red Label, which cater to the price-sensitive middle class, even as premium ones like Lipton and Taj continue to grow.

Consumer durables, too, have taken a hit. Abdul Raqeeb, 47, a fleet manager with a private school in Bhopal, had been wanting to upgrade to a front-loading 12 kg washing machine for a while now (see *Necessity No More*). "I had bought the previous machine for less than Rs 10,000," he says. But a new one would cost him Rs 45,000-60,000. Discouraged, he has deferred his purchase, preferring instead to spend on his children's education. Unlike FMCG products, where consumers downtrade during inflationary periods, people delay purchases or extend replacement cycles in the case of consumer durables. This is because unlike FMCG expenses, the buying of durable goods can be spread over time, thanks to financing options such as EMIs. Little wonder that market intelligence firm NielsenIQ reports flat volume growth across 60 categories, including TVs, refrigerators and cellphones; value growth in these categories was just 9 per cent over the previous year. The share of cellphones in the entry-level and mass market segments has also dropped significantly over the past two years.

There is also a growing trend towards premiumisation: the rise of an affordable, feature-rich premium segment to which the slightly wealthier are migrating. Increased local manufacturing has helped trim the cost of many high-end electronic items, says Kamal Nandi, business head & EVP, Appliances Business, Godrej Enterprises Group (GEG). That trend is showing in sales data. For GEG, the mass segment of its products grew by about 17-18 per cent between 2020 and 2024, while the premium segment saw over 45 per cent growth. Nandi explains how the semi-automatic